7-4a Fixed versus Floating Exchange Rates

Since the collapse of the Bretton Woods system in the early 1970s, debate has never ended on whether fixed or floating exchange rates are better. Proponents of fixed exchange rates argue that fixed exchange rates impose monetary discipline by preventing governments from engaging in inflationary monetary policies (essentially, printing more money). Proponents also suggest that fixed exchange rates reduce uncertainty and, thus, encourage trade and FDI, not only benefiting the particular economy but also helping the global economy.

Proponents of floating exchange rates believe that market forces should take care of supply, demand, and, thus, the price of any currency. Floating exchange rates may avoid large balance-of-payments deficits, surprises, and even crises. In other words, flexible exchange rates may help avoid the crises that occur under fixed exchange rates when expectations of an impending devaluation arise. For example, Thailand probably would not have been devastated so suddenly in July 1997 (generally regarded as the triggering event for the 1997 Asian financial crisis) had it operated a floating exchange rate system. In addition, floating exchange rates allow each country to make its own monetary policy. A major problem associated with the Bretton Woods system was that other countries were not happy about pegging their currencies to the currency of the United States, which practiced inflationary monetary policies in the late 1960s.

There is no doubt that floating exchange rates are more volatile than fixed rates. Many countries have no stomach for such volatility. The most extreme fixed rate policy is through a

currency board (A monetary authority that issues notes and coins convertible into a key foreign currency at a fixed exchange rate.)

, which is a monetary authority that issues notes and coins convertible into a key foreign currency at a *fixed* exchange rate. Usually, the fixed exchange rate is set by law, making changes to the exchange rate politically very costly for governments. To honor its commitment, a currency board must back the domestic currency with 100% of equivalent foreign exchange. In the case of Hong Kong's currency board, every HK$7.8 in circulation is backed by US$1. By design, a currency board is passive. When more US dollars flow in, the board issues more Hong Kong dollars and interest rates fall. When more US dollars flow out, the board reduces money supply and interest rates rise. The Hong Kong currency board has been jokingly described as an Asian outpost of the US Federal Reserve. This is technically accurate, because interest rates in Hong Kong are essentially determined by the US Federal Reserve. While the Hong Kong currency board has been a successful bulwark against speculative attacks on the Hong Kong dollar in 1997-1998, it has been dragged down by the weakening US dollar recently.

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